investment outcomes are likely to be poorer. I'm confident our clients benefit from our broad mandate. Consider the real estate market; the decision to buy a 10-story, 30-story, or 70-story office building is analogous to buying a small, medium, or large-cap company. The factors are the same in determining the value of these commercial buildings and include examining comparable in-market sales, capitalization rates, replacement costs, and local occupancy levels. A value investor should invest in the building that has the best relationship of price to value, regardless of size. If none of the buildings offer a favorable opportunity, then an investment should not be made.

But what if the 70-story building wasn't priced at a level where you would want to own it, or you can't buy it because it isn't available for sale? What if its first mortgage can be purchased at such a discount that if the building owner were to default, you could foreclose and take control of the building at a price that would make it very hard to lose money? That's what happened to Rockefeller Center in 1995 when Mitsubishi Estate Company, its former majority owner, filed for bankruptcy protection. The debt of Rockefeller Center Properties Inc., the real estate investment trust that held its mortgage, traded at a discount to par, allowing for a double-digit rate of return in a worst-case scenario. In the event of a foreclosure, we had good downside protection: we would have taken control of Rockefeller Center at a discount to replacement cost.

RECOGNIZING OPPORTUNITY

While investors need to be open to opportunities, they also need to be aware of limitations. As we've noted, we seek opportunity across a broad range of countries, markets, securities, and strategies. But simply because we can invest with such breadth does not mean we always should. Instead, we only invest where we believe there is an